

Oklo Inc. (OKLO)

Research Brief - August 29, 2026

Key Metrics

Price: \$40.14 | P/E: N/A | Market Cap: 7466748416
6-Month Return: nan% | Volatility: 0.9296 | Sharpe: -0.4613 | Max Drawdown: -53.73%

Recent Headlines

- Nuclear Stocks Rebound on an Oversold Bounce: Uranium Energy Jumps 6%, NuScale Power and O
- NuScale Power and Oklo Drop 5%, Centrus Energy Sinks 6%: What?s Behind the Nuclear Stock S
- Is Up 8.5% After First Criticality And Initial Reactor Sales - And What's Next
- Oklo?s (OKLO) Groves Reactor Hits Criticality In Under A Year
- Oklo Q2 Earnings Call Highlights

AI Research Note

Oklo Inc. (OKLO) - Equity Research Note
Rating: SELL | Price Target: \$22.00
Current Price: \$40.14 | Market Cap: \$7.47B

Paragraph 1: Valuation Assessment vs. Sector Peers

Oklo's valuation is extraordinarily difficult to justify on traditional metrics - the company carries no P/E ratio given it generates no meaningful revenue, yet commands a \$7.47 billion market capitalization. Relative to advanced nuclear and SMR peers, this premium is striking: NuScale Power trades at a fraction of Oklo's implied enterprise value despite being further along in NRC licensing and commercialization. Even against high-growth clean energy pre-revenue names, Oklo's market cap implies an aggressive discounting of a commercial operating future that remains years away. The recent "first criticality" milestone on the Groves reactor is operationally significant and explains the partial rerating, but achieving criticality in a development reactor does not translate to near-term cash flow. With no revenue base to anchor a forward EV/Sales or EV/EBITDA multiple, the stock is essentially trading on optionality and sentiment - a precarious foundation for a \$7.5B valuation in a rising rate environment where speculative duration assets face persistent headwinds.

Paragraph 2: Key Risks to the Investment Thesis

The risk profile here is exceptionally elevated. Annualized volatility of **92.96%** places Oklo firmly in speculative territory, and the **Sharpe Ratio of -0.46** confirms that investors are not being compensated for the risk assumed - negative risk-adjusted returns signal deteriorating momentum relative to the risk-free rate. The **maximum drawdown of -53.73%** over the observable period underscores the stock's capacity for severe capital destruction during sentiment shifts, as evidenced by the whipsaw price action in recent headlines (5% single-day drops alongside 5-8% bounces on no material new information). Key fundamental risks include: (1) **regulatory and licensing risk** - NRC approval for Aurora powerhouse commercial deployment remains uncertain and historically slow; (2) **execution risk** - transitioning from criticality milestones to contracted, revenue-generating reactor sales is a multiyear, capital-intensive journey; (3) **competition risk** - NuScale, X-energy, and Kairos Power are advancing parallel SMR programs with potentially stronger utility relationships; and (4) **dilution risk** - as a pre-revenue company burning cash, equity raises remain a near-certainty, pressuring existing shareholders.

Paragraph 3: Price Target Rationale and Recommendation

We initiate coverage of Oklo with a **SELL** rating and a 12-month price target of **\$22.00**, implying **~45% downside** from current levels. Our price target is derived from a probability-weighted scenario analysis: in a bull case (25% probability) assuming successful first commercial reactor deployment by 2028 and 10 contracted unit sales, we apply a 15x forward EV/Revenue multiple to arrive at ~\$38/share. In our base case (50% probability), reflecting regulatory delays of 2-3 years and limited initial sales, we discount to ~\$18/share. Our bear case (25% probability) - featuring a failed licensing cycle or capital markets deterioration - implies ~\$8/share. Probability-weighted, this yields approximately \$22. The current price embeds near-perfection in execution across a deeply uncertain regulatory and commercial pathway. Until Oklo demonstrates signed power purchase agreements, an approved NRC license for its Aurora design, or a clear path to first commercial revenue, we see materially more downside than upside. Investors should await a more attractive entry point with tangible de-risking catalysts before establishing positions. **SELL.**